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PA SUPREME COURT | 700 PHARMACY VICTORY

ATTORNEY DANIEL J. SIEGEL SECURES ANOTHER PENNSYLVANIA SUPREME COURT VICTORY

We are pleased to announce that our client, **700 Pharmacy**, secured an important victory for independent pharmacies, healthcare providers, and patients across the Commonwealth.

Represented by Attorneys [Daniel J. Siegel](#) and [Christa Frank High](#), the pharmacy successfully advocated for a decision clarifying the law and helping ensure that patients can continue to receive uninterrupted care from the providers they know and trust. [Download the Opinion in 700 Pharmacy v. Bureau of Workers' Compensation Fee Review Hearing Office \(State Workers' Insurance Fund\) here.](#)

In its decision, the Pennsylvania Supreme Court ruled that injured workers can continue to receive medications from pharmacies and healthcare providers familiar with their medical histories, treatment plans, and ongoing recovery needs. The

seamless coordination between physicians and pharmacies is particularly critical in workers' compensation cases, where consistent medication management often plays a vital role in successful treatment outcomes.

The ruling also recognizes the substantial commitment of many pharmacies that continued to serve injured workers despite years of uncertainty about reimbursement. In numerous cases, pharmacies delivered necessary medications and waited extended periods for payment – some for as long as a decade. Beyond the parties directly involved, the decision affects thousands of workers' compensation claims and provides much-needed clarity for patients, healthcare providers, pharmacies, insurers, and employers throughout Pennsylvania.

Practical Takeaways

- **For Physicians:** They can refer patients to a pharmacy they own or have a financial interest in for prescription drugs, supporting continuity of care.
- **For Pharmacies:** Pharmacies owned by physicians can seek payment for prescriptions provided to workers' compensation claimants, even if the referring doctor has a financial interest.
- **For Insurers:** Insurers cannot deny payment for prescription drugs on the grounds of prohibited self-referral under the current law.

The Case: 700 Pharmacy v. Bureau of Workers' Compensation Fee Review Hearing Office

The case centered on whether Pennsylvania's Anti-Referral Provision in the Workers' Compensation Act (WCA) prohibits doctors from referring patients for prescription drugs to a pharmacy in which they have a financial interest. Insurers had argued that such referrals were unlawful, denying payment for prescriptions and threatening the continuity of care for injured workers.

Dan Siegel, representing 700 Pharmacy, argued before the Court that the law bans self-referrals only for eight specifically listed services (such as laboratory, physical therapy, and diagnostic imaging) and does **not** extend to prescription drugs or pharmaceutical services.

The Supreme Court's Decision

On June 16, 2026, the Pennsylvania Supreme Court agreed with Mr. Siegel's arguments and **reversed** the lower court. The Court held:

- The Anti-Referral Provision's ban on self-referrals is limited to the eight enumerated categories of services.
- The phrase "goods or services" in the statute does not act as a catch-all to include unlisted services like prescription drugs.
- Self-referrals for prescription drugs and professional pharmaceutical services are not prohibited under the current law.

Implications for Doctors

Referrals for Prescription Drugs Are Permitted

Doctors may now refer patients for prescription drugs to a pharmacy in which they have a financial interest, without violating the Anti-Referral Provision. This ensures that patients can receive medications from a trusted source, supporting better health outcomes. For example, 700 Pharmacy was providing mail service long before other pharmacies offered it, helping patients get their prescriptions on time.

Referrals to Other Provider-Owned Services Are Permitted

As healthcare delivery has evolved, many physicians have developed ownership interests in ancillary healthcare services that can improve patient access and reduce costs. The Court's decision confirms that physician ownership interests are permissible in Ambulatory Surgery Centers and other healthcare facilities that often

provide care at a lower cost than traditional hospital settings. This clarification removes uncertainty created by prior decisions and supports innovative, cost-effective models of healthcare delivery.

Restrictions Remain for Certain Designated Services

The prohibition on self-referrals continues to apply to the eight categories of services specifically identified in the statute:

- Laboratory services
- Physical therapy
- Rehabilitation services
- Chiropractic services
- Radiation oncology services
- Psychometric services
- Home infusion therapy
- Diagnostic imaging services

Physicians must continue to comply with these restrictions when referring patients for any of the designated services listed above.

Legislative Changes Could Happen

The Supreme Court emphasized that if the legislature wants to expand the self-referral ban to include prescription drugs, it must do so explicitly. For now, the law stands as interpreted by the Court.

Conclusion

Daniel J. Siegel's representation of 700 Pharmacy has resulted in yet another Supreme Court decision that protects both doctors and patients. By clarifying the law, the Court has ensured that patients can continue to receive coordinated, uninterrupted care from their trusted providers.

If you have questions about how this decision affects your practice or your patients, contact the Law Offices of Daniel J. Siegel at 610-446-3457 for guidance.